TRENDS

COPING WITH RISING PREMIUMS

It is not just health insurance premiums that are rising on the back of Covid. Even life insurance premiums are on the rise.

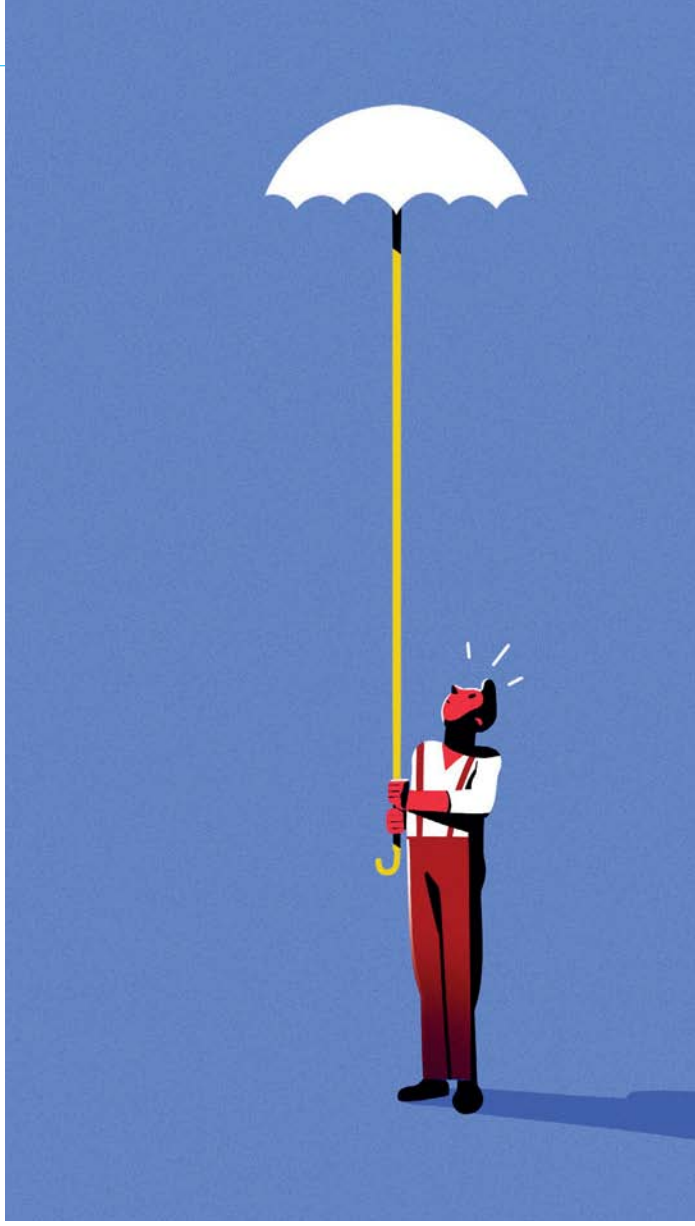


Illustration by SIDDHANT JUMDE

Insurance advertising mostly revolves around a morbid setting or showcases a situation where the target audience visualises the financial pain they would face in the absence of insurance. This approach works because of people's loss aversion bias. In the case of life insurance, family members are shown thanking their loved ones who left them financially secure. The fear of death and disease have made both life and health insurance sales spike in the past two years because of the ongoing pandemic.

No doubt life and health insurance are essential, but one should consider the extent of cover one actually needs. One should also find the kind of policy that would best help them or their dependants when the benefits come into play in a hassle-free manner. There is a cost the policyholder pays by way of premiums and there is a scope of cover defined in the policy document that details what the policy would pay for under specific conditions.

Now, think of insurance as a bet one would love to lose and be happy to pay the premium to keep the bet on. Further, loss-aversion makes one commit to insurance plans even if some of the losses outlined in the plans are unlikely to occur. For instance, imagine a health insurance that pays for 28 different types of surgeries. Very few policyholders may claim such benefits beyond a second or third time. Insurance companies are guaranteed business as they manage to strike a chord with policyholders about the need for financial security.

↘ INCREASING INSURANCE COST

In recent months, several life and health insurance firms have begun revising their premium rates to keep up with the claim experience on the back of Covid. In both types of insurance, the number of claims have been on the rise and so has been the demand for insurance due to the Covid-related scare. Insurers have slowly started to review and revise their cost structures, especially the premium on policies. Any rise in premiums has to be approved by the Insurance Regulatory and Development Authority of India, and several insurers have got the necessary approval, even as many others have applied for it.

While insurers may be right in their quest to increase premiums, the fallout is a rise in the burden on policyholders. A 20 per cent increase in premiums across the board would impact the cost of future premiums at a time when many policyholders are already facing financial challenges. Moreover, for people looking for a fresh insurance policy, it is not just about costs but also about the entire process of underwriting. Underwriting is the process of evaluating an individual's state of health, among other factors. It entails undergoing stringent medical tests and other factors that could significantly impact the premiums they pay, especially if they tested

ONE SHOULD FOCUS ON MAINTAINING THE COVER AND NOT COMPROMISING ON IT, UNLESS IT BECOMES IMPOSSIBLE TO PAY PREMIUMS